

Less common is a Chapter 13 bankruptcy. This involves repayment of your debts according to your ability to pay. You may end up paying ten cents per every dollar you owe. In recent years the preference has been to get more consumers to file a Chapter 13 so that money is returned to the creditors instead of having to be written off as bad debt.

It was only after arriving in court that Martha discovered that not all her debts would be forgiven through filing a Chapter 7. Martha's student loans and money she owed to the IRS for taxes would not disappear by filing bankruptcy. She was comforted that she could at least get rid of her credit card payments. Anyway, she didn't want her credit cards anymore; they had just gotten her into trouble.

What Martha hadn't realized was that she had become dependent on her credit cards as an extra source of income. Before long, she felt she needed "just one." Fortunately, her bankruptcy made qualifying for a credit card difficult and costly. Those credit cards that she could receive usually charged her a higher interest rate because of her negative credit history.

Dissuaded from using credit again as an additional source of income and tired of struggling financially on her own, Martha decided to quit her job and go on welfare. Once she started to receive assistance from the government, they now had an incentive to look for her ex-husband. Amazingly, they tracked him down after three months and began to garnish his wages.

Martha wisely did not turn to bankruptcy right away when things got tough. But when expenses came up that she couldn't afford, Martha should not have turned to credit cards before considering other options like family, government, or charity assistance. Martha said that she had too much pride to turn to others for help. But in the end, she did exactly that by accepting welfare.

